WHY WERE THE GIPS STANDARDS CREATED, WHO CAN CLAIM COMPLIANCE, & WHO BENEFITS FROM COMPLIANCE?

Learning Outcomes

- explain why the GIPS standards were created, who can claim compliance, and who benefits from compliance
- describe the key concepts of the GIPS Standards for Firms

The mission of the GIPS standards is to promote ethics and integrity and instill trust through the use of the GIPS standards by achieving universal demand for compliance by asset owners, adoption by asset managers, and support from regulators for the ultimate benefit of the global investment community.

Institutions and individuals are constantly scrutinizing past investment performance returns in search of the best manager to achieve their investment objectives.

In the past, the investment community had great difficulty making meaningful comparisons on the basis of accurate investment performance data. Several performance measurement practices hindered the comparability of performance returns from one firm to another, while others called into question the accuracy and credibility of performance reporting overall. Misleading practices included:

- *Representative Accounts*: Selecting a top-performing portfolio to represent the firm's overall investment results for a specific mandate.
- *Survivorship Bias*: Presenting an "average" performance history that *excludes* portfolios whose poor performance was weak enough to result in termination of the firm.
- *Varying Time Periods*: Presenting performance for a selected time period during which the mandate produced excellent returns or out-performed its benchmark—making comparison with other firms' results difficult or impossible.

Making a valid comparison of investment performance among even the most ethical investment management firms was problematic. For example, a pension fund seeking to hire an investment management firm might receive proposals from several firms, possibly from different countries, all using different methodologies for calculating their results.

The GIPS standards are a practitioner-driven set of ethical principles that establish a standardized, industry-wide approach for investment firms to follow in calculating and presenting their historical investment results to prospective clients. The GIPS standards ensure fair representation and full disclosure of investment performance. In other words, the GIPS standards lead investment management firms to avoid misrepresentations of performance and to communicate all relevant information that prospective clients and investors should know in order to evaluate past results.

The objectives of the GIPS standards are as follows:

- Promote investor interests and instill investor confidence.
- Ensure accurate and consistent data.
- Obtain worldwide acceptance of a single standard for calculating and presenting performance.
- Promote fair, global competition among investment firms.
- Promote industry self-regulation on a global basis.

Consultants cannot make a claim of compliance unless they actually manage the assets for which they are making a claim of compliance. They can claim to endorse the GIPS standards and/or require that their investment managers comply with the GIPS standards. Similarly, software (and the vendors who supply software) cannot be "compliant." Software can assist firms in achieving compliance with the GIPS standards (e.g., by calculating performance in a manner consistent with the calculation requirements of the GIPS standards), but only a firm managing assets can claim compliance once the firm has satisfied all applicable requirements of the GIPS standards.

Asset owners may comply with the GIPS standards in the same way as firms if they compete for business. If they don't compete for business but report their performance to an oversight body, asset owners may choose to comply with the GIPS Standards for Asset Owners.

Compliance is a firm-wide process that cannot be achieved on a single product or composite. A firm has only two options with regard to compliance with the GIPS standards:

1. fully comply with *all* requirements of the GIPS standards and claim compliance through the use of the GIPS Compliance Statement; or

2. not comply with all requirements of the GIPS standards and not claim compliance with, or make any reference to, the GIPS standards.

Complying with the GIPS standards is voluntary. Compliance with the GIPS standards is not typically required by legal or regulatory authorities.

Who Benefits from Compliance?

The GIPS standards benefit firms and their prospective clients and investors, as well as asset owners and their oversight bodies.

- By choosing to comply with the GIPS standards, firms assure prospective clients and investors that the historical track record they report is both complete and fairly presented. Compliance enables the GIPS-compliant firm to participate in competitive bids against other compliant firms throughout the world. Achieving and maintaining compliance may also strengthen the firm's internal controls over performance-related policies and procedures.
- Prospective clients and investors have a greater level of confidence in the integrity of performance presentations of a GIPS-compliant firm and can more easily compare performance presentations from different investment management firms. The GIPS standards certainly do not eliminate the need for in-depth due diligence on the part of the client or investor, but compliance with the Standards enhances the credibility of investment management firms that have chosen to undertake this responsibility.
- Asset owners provide performance information to their oversight bodies that allows them to make investment decisions and evaluate the performance of the funds under their supervision. Particularly where asset owners require their external managers to comply with the GIPS standards, reporting to the oversight body using the same principles facilitates the understanding of the sources of risk and excess return in the funds under supervision.
- **Key Concepts**
- Key concepts of the GIPS standards that apply to firms include the following:
- The GIPS standards are ethical standards for investment performance presentation to ensure fair representation and full disclosure of investment performance.
- Meeting the objectives of fair representation and full disclosure is likely to require more than simply adhering to the minimum requirements of the GIPS standards. Firms should also adhere to the recommendations to achieve best practice in the calculation and presentation of performance.

by CFA Institute and the GIPS standards governing bodies.

- The GIPS standards do not address every aspect of performance measurement and will continue to evolve over time to address additional areas of investment performance.
- The GIPS standards require firms to create and maintain composites for all strategies for which the firm manages segregated accounts or markets to segregated accounts. Firms must include all actual, fee-paying, discretionary segregated accounts in at least one composite defined by investment mandate, objective, or strategy. Pooled funds must also be included in any composite for which the pooled fund meets the composite definition. Firms must maintain and make available information about all of the strategies they manage using composites or pooled funds. These requirements prevent firms from cherry-picking their best performance.
- The GIPS standards rely on the integrity of input data, the quality of which is critical to creating accurate performance presentations. The underlying valuations of portfolio holdings drive performance. It is essential for these and other inputs to be accurate. The GIPS standards require firms to adhere to certain calculation methodologies to allow for comparability across firms.

Please read the Preface and the Introduction to the Global Investment Performance Standards for Firms for additional insight into the history and purpose of the GIPS standards.

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NA Some practice questions in this chapter are not covered by the curriculum. For example: how many years of performance data are needed to be GIPS compliant and when you are allowed to show non-compliant data with compliant data

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